

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-21

PKDC, LLC,
Complainant,

v.

CMA CGM S.A.,
Respondent.

COMPLAINANT'S REPLY TO RESPONDENT'S BRIEF

TABLE OF CONTENTS

INTRODUCTION	1
ARGUMENT	2
I. The Commission has Jurisdiction to Remedy CMA’s Unlawful Practices, Including Under 46 U.S.C. § 41102(c)	2
A. The Presiding Officer has Already Rejected CMA’s Arguments, Establishing Law of the Case that Cannot be Revisited Now	2
B. The Commission Has Jurisdiction Over Counts I, III, and V Of The Complaint	4
C. CMA is Liable Under Section 41102(c) for Systemically Failing to Carry PKDC’s Cargo in Favor of Higher-Paying Cargo	6
D. CMA is Responsible for its Unjust and Unreasonable Practices Despite Forcing a Drawdown Amendment	7
II. CMA’s Practices in Systematically Denying PKDC Space in Favor of Higher-Paying Cargo and Coercing Extra Fees to Carry PKDC’s Cargo Were Unreasonable	9
III. CMA’s Failure to Honor its Service Contract was not PKDC’s Fault	16
IV. PKDC has Proven its Claims Under 46 U.S.C. § 41104(a)(2) and (10)	19
V. CMA Also Unreasonably Charged Detention on Containers that Could not Be Returned	20
VI. PKDC Should Be Awarded Reparations	21
A. The Grafton Declaration is an Admissible Summary of Voluminous Bills Produced During Discovery Which CMA had Ample Opportunity to Review	21
B. Other Carriers’ Inability to Make Up CMA’s MQC Shortfall is Not a Defense	24
C. PKDC’s Damages are Reasonably Certain	28
CONCLUSION	30

TABLE OF AUTHORITIES

Cases

<i>20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.</i> , Docket No. 23-02, Initial Decision (ALJ Apr. 24, 2026)	<i>passim</i>
<i>Adenariwo v. FMC</i> , 808 F.3d 74 (D.C. Cir. 2015)	24
<i>Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.</i> , 30 S.R.R. 991, 2006 WL 2007808 (FMC May 10, 2006)	8
<i>Bakerly LLC v. Seafrigo USA, Inc.</i> , Docket No. 22-17, 2024 WL 4678461 (FMC Oct. 30, 2024)	29
<i>California Shipping Line, Inc. v. Yangming Marine Transp. Corp.</i> , 1990 WL 427466 (FMC Oct. 19, 1990)	15
<i>Cargo One, Inc. v. COSCO Container Lines Co., Ltd.</i> , 28 S.R.R. 1635 (2000)	3, 4, 5
<i>Coates v. Johnson & Johnson</i> , 756 F.2d 524 (7th Cir. 1985)	23
<i>Colón-Fontáñez v. Mun. of San Juan</i> , 660 F.3d 17 (1st Cir. 2011)	23
<i>Eden Mining Co. v. Bluefield Fruit & S. S. Co.</i> , 1 U.S.S.B. 41 (1922)	28
<i>EuroUSA Shipping, Inc., Tober Group, Inc. and Container Innovations, Inc.-Possible Violations of Section 10 of the Shipping Act of 1984</i> , 31 S.R.R. 540 (FMC 2008)	22
<i>Global Link Logistics, Inc. v. Hapag-Lloyd AG</i> , Dkt. No. 13-07, 2014 WL 5316345 (ALJ Apr. 17, 2014)	8
<i>Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)</i> , Docket No. 21-09, 2022 WL 1239377 (ALJ Apr. 22, 2022)	21
<i>MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.</i> , Docket No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024)	5, 8, 17
<i>Mitchell v. Univ. of La. Sys.</i> , 154 F. Supp. 3d 364 (M.D. La. 2015)	23

<i>MSC Mediterranean Shipping Co. S.A. v. FMC</i> , 141 F.4th 222 (D.C. Cir. 2025).....	3
<i>NCBFAA v. United States</i> , 883 F.2d 93 (D.C. Cir. 1989).....	7
<i>Off. of U.S. Trustee v. John Q. Hammons Fall 2006, LLC</i> , 602 U.S. 487 (2024)	28
<i>OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG</i> , Docket No. 21-11, Order Affirming Initial Decision (FMC Aug. 27, 2024)	27
<i>Rose Int’l, Inc. v. Overseas Moving Network</i> , 29 S.R.R. 119 (FMC 2001)	24
<i>Stop-N-Go of Madison, Inc. v. Uno-Ven Co.</i> , 184 F.3d 672 (7th Cir. 1999)	6
<i>United States ex rel. LaCorte v. Wyeth Pharms., Inc.</i> , 706 F. Supp. 3d 206 (D. Mass. 2023).....	23
<i>United States v. Bakker</i> , 925 F.2d 728 (4th Cir. 1991)	22, 23
<i>Watt Equip., Inc. v. Lima Refining Co.</i> , 2026 WL 922048 (N.D. Okla. Jan. 12, 2026)	26, 27
<i>Wye Oak Tech., Inc. v. Republic of Iraq</i> , 24 F.4th 686 (D.C. Cir. 2022).....	3
Statutes	
46 U.S.C. § 40502(f).....	4
46 U.S.C. § 41102(c)	<i>passim</i>
46 U.S.C. § 41104(a)	29
46 U.S.C. § 41104(a)(10).....	19, 20
46 U.S.C. § 41104(a)(2).....	7, 19, 20
46 U.S.C. § 41305(c)	29
Regulations	
46 C.F.R. § 502.204(a).....	22

Rules

Federal Rule of Evidence 1006.....	22, 23
------------------------------------	--------

Other Authorities

11 Corbin on Contracts § 55.15 at 80 (Rev. ed. 2005).....	6
CMA CGM, S.A., <i>CMA CGM to acquire NOL, reinforcing its position in global shipping</i> , https://www.cma-cgm.com/news/1011/cma-cgm-to-acquire-nol-reinforcing-its-position-in-global-shipping (Dec. 7, 2015).....	12

INTRODUCTION

In its reply brief, CMA attacks the Commission's jurisdiction and its *Cargo One* test—but does little to address PKDC's claims and evidence introduced in PKDC's opening brief.

As PKDC stated in its opening brief, when demand for space outpaced supply during the COVID-19 pandemic, carriers like CMA chose to maximize profit instead of equitably prorating space among their customers. PKDC Br. at 4-18, 31-42. CMA, which ranks its customers as “VIP” or non-VIP, “high paying” or “low paying,” leveraged its space allocation procedures to preference higher paying cargo over less lucrative cargo like PKDC's—a non-VIP, low-paying customer of CMA's. Moreover, CMA coerced extra fees from PKDC to carry cargo that CMA was already obligated to carry under the parties' service contract. How much customers were paying for vessel space was expressly considered by CMA when deciding which customers got space on a vessel ship and those customers that did not. And so PKDC lost out on space, forcing it to utilize NVOCCs with higher rates to book cargo that CMA was supposed to move under CMA's service contract with PKDC.

As CMA explained, it was “a challenging year for CMA from a performance perspective.” CMA077062 [APP0354]. CMA “overcommit[ed]” and “under deliver[ed].” CMA137966 [APP0352]. And PKDC suffered. Not through any fault of PKDC. But simply because, “[d]uring [the] pandemic,” “PKDC was not a VIP customer[.]” CMA139634, at tab Split lifting [Native].

Tellingly, CMA's main defense is not that it somehow acted reasonably. Rather, CMA throws a variety of technical arguments against the wall, hoping one will stick. First, it argues the Commission lacks jurisdiction. CMA next argues that the law does not provide a claim to PKDC. Then, CMA argues that it should not have to equitably pro-rate space during times of space shortage. Finally, CMA argues that PKDC caused its own damages.

Each of these counterarguments that CMA raises—some of which the Presiding Officer has already rejected on CMA’s motion to dismiss—is unavailing. The preponderance of the evidence shows that CMA’s unreasonable conduct violated the Shipping Act, and that PKDC is entitled to reparations that are supported by accurate and reliable evidence. The Presiding Officer should find in PKDC’s favor and award reparations of at least \$18 million.

ARGUMENT

I. The Commission has Jurisdiction to Remedy CMA’s Unlawful Practices, Including Under 46 U.S.C. § 41102(c)

CMA’s primary arguments are not that PKDC has failed to prove its claims, but rather that the Commission lacks jurisdiction to entertain them or remedy CMA’s unfair practices under 46 U.S.C. § 41102(c). CMA Br. at 4-18. CMA argues that the Commission lacks jurisdiction over Counts I, III, and V of the Complaint, which challenge CMA’s unreasonable failure to provide all the vessel space it committed to furnish. CMA argues that these are breach of contract claims rather than Shipping Act claims and should be dismissed. Furthermore, as CMA sees it, none of its unreasonable conduct touches on practices covered by § 41102(c). *Id.*

But CMA already moved to dismiss on these grounds, and the Presiding Officer rejected CMA’s arguments. Doc. No. 15 at 7-12. That is law of the case that cannot be revisited now. CMA’s arguments fail on the merits for the same reasons that the Presiding Officer has already explained.

A. The Presiding Officer has Already Rejected CMA’s Arguments, Establishing Law of the Case that Cannot be Revisited Now

CMA’s jurisdictional arguments can be rejected out of hand because the Presiding Officer has already passed on those same arguments in partially denying CMA’s motion to dismiss. *See* Doc. No. 15 at 7-12. CMA refers to the Presiding Officer’s reliance on the Commission’s decision

in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635 (2000), in denying CMA's motion to partially dismiss PKDC's complaint. In doing so, CMA's arguments are the same as before. *See, e.g.*, CMA Br. at 5, 14. However, the law-of-the-case doctrine permits the Presiding Officer to reject these technical points and proceed to the merits.

As the D.C. Circuit has explained, “the law-of-the-case doctrine refers to a family of rules embodying the general concept that a court involved in later phases of a lawsuit should not re-open questions decided by that court or a higher one in earlier phases.” *Wye Oak Tech., Inc. v. Republic of Iraq*, 24 F.4th 686, 697 (D.C. Cir. 2022) (Jackson, J.) (quotation and alternations omitted). “Colloquially speaking, the doctrine ensures that the same issue presented a second time in the same case in the same court should lead to the same result.” *Id.* (quotation omitted). The doctrine thus applies here. CMA admittedly presents the same issues—purely legal questions of jurisdiction over “breach-of-contract” claims and the applicability of 46 U.S.C. § 41102(c) to CMA's conduct—that were already decided by the Presiding Officer on CMA's motion to dismiss. Doc. No. 15 at 7-12. These same issues should lead to the same result: the Commission has jurisdiction over PKDC's claims, and CMA can be held liable for its unreasonable practices under § 41102(c).

Nor is this a case where the law-of-the-case doctrine should give way to later legal developments. CMA has pointed to no such developments here. The most it does is cite *MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025), which was decided after the motion to dismiss in this case. CMA Br. at 5. But as CMA acknowledges, *MSC* did not decide the jurisdictional issue that CMA presents for the second time; the case “expressly left [it] open[.]” CMA Br. at 5. *MSC* did not even cast doubt on the Commission's understanding of its jurisdiction. It merely stated that it had no occasion to pass on the issue. 141 F.4th at 233 (“Because all parties

here embrace the *Cargo One* test and do not dispute its application here, we leave for another day the question of whether its interpretation of § 40502(f) comports with the terms of the statute.”). That one statement provides little reason to revisit the Presiding Officer’s motion-to-dismiss decision or the Commission’s precedent.

Despite CMA’s renewed jurisdictional arguments, the Commission has jurisdiction, and CMA can be held liable under 46 U.S.C. § 41102(c).

B. The Commission Has Jurisdiction Over Counts I, III, and V Of The Complaint

Even if CMA were permitted to rehash its arguments from its motion to dismiss (and it is not), those arguments fail anyway. As stated above, CMA’s renewed argument that PKDC’s claims in Counts I, III, and V of the Complaint are non-justiciable breach-of-contract claims, CMA Br. at 4-10 (citing 46 U.S.C. § 40502(f)), has been addressed and rejected by the Presiding Officer, and the Presiding Officer should reject it again for the same reasons.

In its reply, CMA continues its attack on *Cargo One* and argues that it “does not articulate any legally meaningful test,” and even if it does, there are “fundamental legal problems with” it “and the manner in which it has been applied.” CMA Br. at 5-7. But as the Presiding Officer correctly explained at length, CMA misunderstands the law and PKDC’s claims. “[T]he Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act.” Doc. No. 15 at 8 (citing *Cargo One*, 28 S.R.R. at 1645, 2000 WL 1648961, at *15). “The Commission *must* address alleged violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations.” *Id.* “The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties,” such as breach-of-contract claims. *Id.*

The Presiding Officer further reasoned that “Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant.” *Id.* (citing *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024)). The Presiding Officer then quoted the Commission’s standard for determining whether a complaint “essentially compris[es]” a contract claim or sufficiently alleges a Shipping Act cause of action:

[W]e find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, 2000 WL 1648961, at *14.

Finally, the Presiding Officer observed that “CMA attempts to redefine unreasonable practices claim into a breach of contract claim and then argues that the breach of contract claim should be dismissed.” Doc. No. 15 at 9. As the Presiding Officer explained, “[t]his only highlights the differences between breach of contract claims and Shipping Act unreasonable practice claims.” *Id.* Here, CMA continues to misconstrue PKDC’s “unreasonable practice” claims into “breach of contract” claims. The Presiding Officer should continue to reject CMA’s misconstruction. PKDC has shown by a preponderance of the evidence that CMA maintained unreasonable practices of, among other things, systemically refusing PKDC space at agreed-to rates and coercing PSS and SPGO fees to carry less cargo than required under the service contract. That conduct, for the

reasons explained in PKDC's opening brief, violated § 41102(c), and confirms that the Commission has jurisdiction in this case. *See* Doc. No. 15 at 8-10.

It makes no difference that CMA found it "efficient" to refuse to honor its service contract commitments (at least at the time). CMA Br. at 8-9 & n.7. "Efficient breach" is merely a legal theory, not a widely accepted doctrine as CMA suggests, *see id.*, that posits that some hypothetical breaches of contract could make "society better off." *Stop-N-Go of Madison, Inc. v. Uno-Ven Co.*, 184 F.3d 672, 680 (7th Cir. 1999). *But see* 11 Corbin on Contracts § 55.15 at 80 (Rev. ed. 2005) ("The business community rejects efficient breach theory as a justification for willful breaches; the courts should also."). But as the Presiding Officer explained, society is not better off if carriers are permitted to violate § 41102(c) then later claim they simply breached a service contract. "Part of ensuring an 'efficient and economic transportation system' is prohibiting regulated entities from engaging in unreasonable practices." Doc. No. 15 at 9. That CMA thinks the Commission should be powerless to remedy unreasonable carrier conduct that caused over \$17 million in damages to PKDC, based on a theory that such conduct was merely an "efficient breach" of a service contract, is all the more reason to reaffirm that the Commission has jurisdiction over PKDC's claims and CMA's conduct.

C. CMA is Liable Under Section 41102(c) for Systemically Failing to Carry PKDC's Cargo in Favor of Higher-Paying Cargo

CMA's argument that § 41102(c) reaches only terminal and forwarding services, rather than the transportation of cargo. CMA Br. at 11-15. Again, the Presiding Officer rejected this argument, explaining that "abundant Commission case law contradicts the argument that section 41102(c) only applies to services performed at the terminal and to terminal forwarding operations." Doc. No. 15 at 11-12 (collecting cases). Section 41102(c), which prohibits unreasonable practices "relating to or connected with receiving, handling, storing, or delivering property," comfortably

describes CMA's failure "to receive, handle, store, or deliver more than half of the [MQC] that it committed to in the parties' 2021-22 service contract." *Id.* at 12. And PKDC has now proven, by a preponderance of the evidence, that CMA did indeed fail to receive, handle, store, or deliver over half of the MQC agreed to in the service contract.

CMA's arguments now, which track those made already, are unpersuasive for the same reasons as before. And as the presiding officer explained in *Bed Bath & Beyond*, the D.C. Circuit's decision in *NCBFAA v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989), supports the conclusion that § 41102(c) reaches unreasonable ocean carrier practices. *20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.*, Docket No. 23-02, Initial Decision (ALJ Apr. 24, 2026), at 117 ("*Bed Bath & Beyond*"). CMA fails to explain why the *NCBFAA* case being about forwarding fees "would materially alter the analysis." *Id.*; see CMA Br. at 14 (simply noting that *NCBFAA* concerned freight forwarders).¹ Accordingly, the Commission has jurisdiction, and CMA's conduct subject to § 41102(c).

D. CMA is Responsible for its Unjust and Unreasonable Practices Despite Forcing a Drawdown Amendment

CMA's next technical argument is related to its first: that because this is really a breach-of-contract case, CMA cannot be liable because it complied with the service contract as amended by the drawdown amendment that lowered the MQC to the amount of cargo shipped. CMA Br. at 16-

¹ Furthermore, just as in *Bed Bath & Beyond*, PKDC's claims under "section 41104(a)(2)" provide "an alternate ground" for an award of reparations. *Bed Bath & Beyond*, at 117, 155-57. Just as in that case, here, the carrier "systematically fail[ed] to meet its service commitments" and coerced "PSS" and SPGO fees, which "were not voluntary and not in accordance with the rates, charges, classifications, rules, and practices of the parties' initial service contracts." *Id.* at 157.

18. CMA's attempt to convert a drawdown amendment into a release of Shipping Act claims is meritless.

For one, this is a Shipping Act case, not a breach-of-contract case. The Commission has confirmed that its obligation to adjudicate Shipping Act violations—which are distinct from breach of contract claims, given that they require a statutory analysis of a carrier's practices—remains intact even when the relevant facts could state (or fail to state) a different claim in another forum. *See MCS*, Dkt. No. 21-05, 2024 WL 95383, at *7; *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). Thus, that CMA believes that it complied with the service contract by forcing a drawdown amendment does not mean that it complied with the Shipping Act.

In the *Bed Bath & Beyond* case, for example, the carrier executed drawdown amendments. But that did not absolve the carrier from Shipping Act liability. *See Bed Bath & Beyond*, at 186. There, as here, the carrier used the drawdown amendment to try to “negate [its] space and price commitments, particularly where” the shipper was “‘dying for space,’ willing and able to use the space, and did not want a reduced quantity.” *Id.* Indeed, internal emails reveal that CMA treated the drawdown amendment as a get-out-of-jail-free card. CMA061497 [APP0361]. But a carrier cannot wield service-contract amendments unreasonably. *See, e.g., Bed Bath & Beyond*, at 186; *cf. Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 13-07, 2014 WL 5316345, at *30 (ALJ Apr. 17, 2014) (although “the practice of reducing MQCs to reflect the volume of cargo actually shipped is consistent with the industry-wide practice in the ocean transportation industry ... [i]t is not a just and reasonable practice to lead parties through a course of conduct, and through written representations, to believe that an MQC will be reduced or rolled over and then to instead seek to impose punitive liquidated damages provisions once the term of the contract has expired”).

For another, even contract law would not help CMA. The amendment was forced: PKDC had no choice but to agree to the MQC drawdown, or otherwise it would face a steep fine from CMA and be precluded from contracting for the next year. Grafton Dep. at 37:18-39:3 [APP0858-60]. Plus, the amendments fail to suggest any waiver on PKDC's part. Even assuming that CMA could contractually waive its own Shipping Act liability, neither the drawdown amendment nor any other service contract amendment contained any language stating that CMA would be released from Shipping Act claims or reparations.

Accordingly, the drawdown amendment reducing the MQC to the cargo volume actually shipped does not absolve CMA.

II. CMA's Practices in Systematically Denying PKDC Space in Favor of Higher-Paying Cargo and Coercing Extra Fees to Carry PKDC's Cargo Were Unreasonable

Tellingly, CMA does not offer any sort of defense of its practices until about halfway through its brief and spends little space defending itself at that. CMA Br. at 18-25. It bears repeating what those practices were.

First, as noted above, CMA believed from the beginning that it could not be held liable for failing to carry the agreed-upon MQC. CMA061497 [APP0361]. It also knew that equipment shortages and lack of vessel space was going to continue through the 2021-2022 contract year as the COVID-19 pandemic raged on. *See* APP0812. Indeed, during 2020-2021 contract year, CMA knew that customers were complaining that CMA was failing to "cover[] their allocations on [a] weekly basis without outrageous PSS charges, and equipment shortages." CMA075002 [APP0378]. But CMA changed *nothing* going into the 2021-2022 contract year, despite knowing about the perfect storm of supply and demand that the pandemic was causing. *See* Eouzan Dep. at 49:11-22 [APP1064].

Second, although CMA's policy, ostensibly, was to pro-rate vessel space in times of shortage [APP0800], the evidence instead shows that vessel space went to the highest bidder. Right as the pandemic was starting, CMA identified "the good paying accounts" so it could "prioritize this within [its] free hand when space is tight." CMA 114490 [APP0375]. CMA's allocation system, LISA CAM, required employees to rank customers as "Elite," "High Paying" or "Low Paying" when allocating vessel space. CMA035250-262 [APP0385-97]. "Operational planning views" could "display applicable surcharges," too, meaning CMA could see how much money a particular allocation was bringing in. [APP0815.] Plus, CMA had a separate "VIP" ranking system for allocating limited equipment (*i.e.*, containers) among customers, across "all trade lanes." [APP0817, APP1079-80.] VIP rankings were based on "volume, strategic importance," and "revenue," among other factors, meaning big players ended up being VIPs with a better chance to get equipment and therefore get vessel space. [APP1088-89, APP0817, APP1068.] And CMA's policy, from the beginning of the 2021-2022 contract year, was to "[a]lways prioritize" VIP customers. CMA068856 [APP0480].

All that meant that PKDC—as a non-VIP, low-paying customer—would repeatedly be denied space by CMA in favor of higher-paying VIPs. CMA received the "same message ... day after day ... advising that [PKDC] can't get any bookings from CMA." CMA137742 [APP0526]. As early as August 2021, PKDC told CMA that it was "increasingly frustrating to not be able to get our allocations and the space we need." CMA133808 [APP0659]. But VIPs, big retailers, and NVOCCs paying sky-high floating market rates did not have that same problem. They received their MQC and then some. *See* PKDC Br. at 14. In fact, in many instances, after CMA refused PKDC space on a vessel, PKDC obtained space on that very same vessel through a higher-priced NVOCC. [APP1139, APP1148-59, APP1162.]

And CMA knows that it failed to provide PKDC's MQC because it prioritized high-paying cargo. It *admitted* that CMA failed to meet the 2,000-FEU MQC because "[d]uring [the] pandemic," "PKDC was not a VIP customer[.]" CMA139634, at tab Split lifting [Native].

Then, there were the coerced fees. CMA forced PSS on PKDC early on: "Without PSS acceptance, it will be difficult for us to continue to consistently move volume for PKDC." CMA140844 [APP0689]. PSS, moreover, was "for sure taken into account when doing cuts" from vessels and deciding which cargo got on a ship. CMA145170 [APP0514]. SPGO was little different. To make up CMA's MQC shortfalls, PKDC was forced to pay SPGO, a \$1,800 fee per container, on top of contract rates, *see, e.g.*, CMA140685 [APP1166]—even though CMA was supposed to make up its own MQC shortfalls, *see* Martini Dep. at 90:20-22 ("CMA would try to catch up if there was a shortfall one week.") [APP1017]. CMA even offered to kick lower-paying cargo off of a ship for PKDC if it paid \$14,000 per container. CMA141020 [APP0696].

These practices are just as bold and unlawful as those at issue in *Bed Bath & Beyond*, for all the reasons explained in PKDC's opening brief. *See* PKDC Br. at 31-36, 38-42.

Weekly allocation. CMA's first line of counterattack is that CMA owed no "specific amount of space on any routing on a weekly basis." CMA Br. at 18-19. The problem for that argument is that CMA's own corporate representative testified that a "weekly allocation" was provided based on dividing the contractual MQC by 52. Eouzan Dep. at 117:14-25 [APP1081]. The parties negotiated over, and agreed upon, "weekly FEU allocations by port." CMA057774 [APP0369]. CMA tracked shippers' "weekly lift" through various spreadsheets. *See, e.g.*, CMA146967 [Native]. There was thus an expected weekly amount of cargo that CMA would carry for PKDC. And regardless, CMA makes *no* argument that it made a good-faith effort to meet the original MQC of 2,000 TEUs. That is, CMA's "space allocation practices" have to be

“reasonable[.]” *Bed Bath & Beyond*, at 126, but CMA does not explain anywhere how it could have reasonably allocated space for PKDC while not offering a weekly MQC allocation or some other reasonably consistent amount of space rather than feast-and-famine allocations.

Proration. CMA contends that its policy was, in fact, to “pro-rate space among customers in times of a space shortage,” CMA Br. at 19-22, but that claim too is belied by the record evidence. As just one example, a CMA employee explained that, despite PKDC paying extra to get space on a vessel, “[a]s per quota given today,” a vessel “could only cover VIP3.” CMA003170 [APP0420]. CMA claims this is somehow innocuous, CMA Br. at 19, but the same refrain is repeated throughout the record: VIPs and high-paying customers get space; non-VIPs and low-paying customers do not. Nowhere does CMA explain how kicking lower-paying cargo off a vessel for \$14,000 per container, CMA141020 [APP0696], or how taking fees into account when deciding what cargo gets to stay on a vessel, CMA145170 [APP0514], complies with an equitable proration policy. That is because it does not.

CMA also complains that two damning statements were made by employees of APL, rather than CMA, outside the 2021-2022 contract year. *See* CMA Br. at 20. CMA does not explain, however, why that matters. CMA cites no authority to suggest that evidence of its conduct, and of its intent behind and motivation for that conduct, need be limited to the dates of the service contract or even to employees with CMA email addresses. In fact, one of the emails CMA complains about is from an employee with a CMA email signature. *See* APP0378. The other email is sent by an APL employee to CMA employees, among others. *See* APP0375. That makes sense: CMA has owned APL since 2016. CMA CGM, S.A., *CMA CGM to acquire NOL, reinforcing its position in global shipping*, <https://www.cma-cgm.com/news/1011/cma-cgm-to-acquire-nol-reinforcing-its-position-in-global-shipping> (Dec. 7, 2015). If CMA truly thought APL were a separate

organization, then it would not have produced APL documents in this case at all. Instead, the evidence in this case routinely shows interchangeability and coordination between the organizations. As just one example, the statement that “PSS will for sure be taken into account when doing cuts” was made by a CMA employee to not only other CMA employees but also an APL employee. CMA145170 [APP0514].

Finally, CMA claims that certain evidence, including the VIP ranking system, should be given less weight because it could cover other trade lanes through which PKDC was not shipping cargo. CMA Br. at 20-21. That claim falls flat for a couple reasons. For one, it is simply not true that the VIP ranking system was limited to China. As CMA’s corporate representative testified at deposition, the VIP Pool system was used to rank customers across “*all trade lanes*,” not just China. Eouzan Dep. at 108:14-110:3 [APP1079-80].

For another, the weekly service contract report plainly shows that certain customers, many of them VIPs, received more of their MQC than PKDC did, CMA146967 [Native], and CMA offers no explanation as to why it matters that the report includes trade lanes not covered by PKDC’s 2021-2022 service contract. CMA does not clarify if any of the customers that PKDC identified in its opening brief were shipping along trade lanes other than those PKDC shipping along—presumably because they, like many other companies shipping to the U.S., ship along East Asian trade lanes.² PKDC also asked CMA if it could ship along additional trade lanes—if it

² CMA does clarify that rank 7 was specific to a particular strategic NVOCC. CMA Br. at 21. But the inference that CMA would like to draw from that—that pricier cargo and space were not connected—does not follow. Regardless of ranking, during “equipment shortage,” BCOs had “less capability to compete with NVO[s]” (playing floating rates) to get equipment. CMA033027 [APP0668]. Plus, the customer CMA references was “VIP4.” *E.g.*, CMA146990, at tab Feuil3, row 3104 [Native]. That CMA was able to meet or exceed MQC for this customer on some import contracts covering the same time period as PKDC’s, but not able to do so for other contracts, is thus not surprising—especially given that the contracts on which this customer met or exceeded

“could explore some East Coast options to try and get some more bookings”—to no avail, so the existence of service contracts covering other trade lanes is again immaterial. Grafton Dep. at 41:4-16 [APP0862]. And regardless, CMA does not even bother to explain how certain NVOCCs paying floating market rates could be receiving over 1,000 percent of their MQC if CMA were truly equitably prorating vessel space. The weekly service contract report unquestionably demonstrates that CMA failed to equitably pro-rate limited space, as the law requires it to do.

PSS and SPGO. CMA then argues that “PKDC willingly and gladly agreed to pay premium rates/surcharges” to receive “space in excess of PKDC’s projection and beyond what was contemplated by the parties.” CMA Br. at 22-24. This argument is contradicted by the record, as discussed below. But PKDC also notes that this argument is inconsistent with CMA’s own position that there was no “weekly allocation” that it should have provided. Either there is no weekly allocation, and there is no such thing as “excess space,” given the significant MQC shortfall; or there is a weekly allocation, and CMA’s failure to meet that allocation week-after-week (as CMA itself acknowledged) resulted in a backlog that had to be made up somehow. *See* CMA137742 [APP0526] (explaining that CMA was receiving the “same message ... day after day ... advising that [PKDC] can’t get any bookings from CMA”). The latter is plainly the case, as CMA seems to acknowledge. *See* CMA Br. at 22 (referencing “space within PKDC’s weekly projection”).

Regardless, it is simply not true that PKDC “willingly and gladly” agreed to these coerced fees. As explained above, PKDC was told early on that “[w]ithout PSS acceptance, it will be

MQC were *floating*-rate, and those where the MQC was not met were *fixed*-rate. *Compare* CMA146967 at rows 292-94 and 1073 [Native], *with* CMA146990, at tab Feuil3, rows 3104-05, 5353, 5355 [Native] (demonstrating that this customer hit 103 percent and 239 percent of its MQC on floating-rate contract nos. 21-0453 and 21-2278, respectively, but hit only 53 percent and 35 percent of its MQC on fixed-rate contract nos. 21-0452 and 21-0454, respectively).

difficult for [CMA] to continue to consistently move volume for PKDC.” CMA140844 [APP0689]. “It would be a shame if we couldn’t move your cargo because you didn’t accept this fee” is a threat, not a voluntary offer. Plus, PSS was “for sure taken into account when doing cuts” from vessels and deciding which cargo got on a ship. CMA145170 [APP0514]. And to make up CMA’s MQC shortfalls, PKDC had to pay SPGO, a \$1,800 fee per container, on top of contract rates, *see, e.g.*, CMA140685 [APP1166]—even though CMA was supposed to make up its own MQC shortfalls, *see* Martini Dep. at 90:20-22 (“CMA would try to catch up if there was a shortfall one week.”) [APP1017]. Once more, CMA even offered to kick lower-paying cargo off a vessel for PKDC if it paid \$14,000 per container. CMA141020 [APP0696]. That PKDC acted professionally in response to these repeated shakedowns, taking hit after hit with a smile and a “thank you,” CMA Br. at 22-23 & n.19, is a testament to PKDC’s patience. After all, PKDC knows what happens to customers who complain too much or threaten to pull their business: CMA retaliates against them. [APP0818] (explaining that customers who “complain[ed] strenuously or threaten[ed] to pull business” could be downgraded in ranking). That CMA might have acted unlawfully in response to similarly abusive practices does not mean that PKDC was also required to do so to demonstrate coercion.

Deviation. Finally, CMA begs that the law be relaxed to allow for deviation from the requirement that space be equitably pro-rated among customers in times of shortage. CMA Br. at 24-25. It offers little, however, in support of that prayer. It acknowledges, as it must, that “current law” requires CMA to either “obtain more space” or “pro-rate available space among its customers.” *Id.* at 24 (citing *California Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, 1990 WL 427466, at *32 (FMC Oct. 19, 1990)). That is enough to dispose of CMA’s plea.

But even if it were not, CMA misunderstands PKDC's claims. The problem in this case is not just that CMA failed to equitably pro-rate space among its customers. It is that CMA also *privileged higher-paying cargo* when deciding which shippers got on a vessel. That is not a permissible "business factor" that a common carrier can consider when divvying up limited space, because, like a first-come-first-served system, its sole purpose would be to enrich the carrier rather than facilitate trade.³

In sum, CMA's defense on the merits falls flat: CMA did not equitably pro-rate space among customers but preferred higher-paying cargo and squeezed additional fees out of low-paying non-VIPs like PKDC.

III. CMA's Failure to Honor its Service Contract was not PKDC's Fault

Because CMA lacks a viable defense on the merits, it next tries to blame PKDC for the MQC shortfall. CMA Br. at 25-28. Specifically, CMA claims both that PKDC's own booking errors prevented cargo from moving, and that PKDC unreasonably signed service contracts with NVOCCs to cover an additional 4,250 FEUs during the 2021-2022 contract years. *Id.* Neither argument withstands scrutiny.

NVOCC Contracts. That PKDC signed additional service contracts with NVOCCs has no bearing on whether *CMA* violated its obligations under the Shipping Act. PKDC signed service contracts with NVOCCs as a backup in case carriers like CMA failed to meet their service-contract obligations during a pandemic that was admittedly causing a shortage of vessel space. *See* Grafton Dep. at 19:13-17 [APP0840] ("At that time we found that it would be a good decision to have

³ CMA also complains that PKDC raised CMA's increased profitability between 2020 and 2022, despite CMA carrying less cargo. CMA Br. at 25. Again, CMA misses the point. The point is that the most logical explanation for CMA's financial success is that it systematically disregarded its service contract commitments in favor of higher-paying cargo.

some contacts and agreements with NVOCCs in case, you know, we didn't get our MQC that we had contracted with CMA."'). That was prescient, not unreasonable. And it is because PKDC signed these additional service contracts that PKDC even had the option of attempting to secure non-market rates when CMA failed to carry PKDC's cargo. But as with CMA, it was next to impossible to secure space on vessels through NVOCCs at the rates agreed to in the service contracts, ultimately requiring PKDC to pay market rates to NVOCCs to move the cargo that CMA refused.

Even assuming it was somehow unreasonable to shore up backup space with NVOCCs during a pandemic (it was not), and even assuming PKDC was going to breach every other service contract it had (it was not), that would still not absolve CMA of its failure to carry the cargo that PKDC was ready, willing, and able to ship with CMA (as evidenced, for example, by PKDC's repeatedly rejected booking requests and requests for additional space above weekly allocation). CMA, as a common carrier and ocean common carrier regulated by the Shipping Act, could not refuse PKDC's cargo simply because it had other service contracts any more than it could refuse that cargo because it belonged to a "low paying" shipper. Put another way, PKDC's allegedly unreasonable conduct with respect to NVOCCs does not make CMA's systematically preferencing higher-paying cargo any less unlawful.

CMA's finger-pointing here is essentially the same argument that the carrier made, and the presiding officer rejected, in *Bed Bath & Beyond*. There, the carrier argued that the shipper had to "connect a request to book a specific container to a denial to ship that particular container, and then must show the cost of booking that specific container elsewhere." *Bed Bath & Beyond*, at 184. "Commission precedent does not support this approach." *Id.* For example, in *MCS*, 2024 WL 3514613, at *8, the Commission did not disturb the presiding officer's rejection of the carrier's

argument that the shipper “had to tie each spot shipment to a prior request that [the carrier] carry the shipment and to show that each spot shipment could not have been made any other way.” Likewise, here, it does not matter that PKDC had service contracts with others. What matters is that CMA unreasonably refused PKDC space in favor of higher-paying cargo, and PKDC was forced as a result to pay more to move that cargo.

Booking. CMA’s claim that PKDC had booking issues also comes up short. To start, it was *CMA* that had booking problems. CMA’s booking portal was undisputedly a mess: “how the vessel opened and how that was communicated was a challenge with CMA. That wasn’t something that was a consistent rule across their organization. And when you got into their portal to choose a booking, it didn’t say when those bookings would be ready either.” Grafton Dep. at 77:2-9 [APP0898]. That is corroborated by CMA’s own evidence. Over 1,000 FEUs-worth of bookings were cancelled because they were ostensibly requested too early or in excess of weekly allocations. Ewan Decl. ¶¶ 7-8 [APP0821]. But CMA’s corporate representative testified that this should not have happened: the booking system should not have been open at all if it were truly too early to book, Eouzan Dep. at 82:18-22 [APP1073], and cancellations were “mainly, if not only” driven by “equipment availability” rather than booking in excess of allocation, *id.* at 107:12-23 [APP1079] (which, again, CMA now claims did not exist on a weekly basis). And CMA did not maintain records of PKDC’s many rejected bookings and booking attempts. [APP0806.]

Moreover, it was not until litigation that CMA believed that the MQC shortfall was PKDC’s fault. Before litigation, CMA recognized that it was to blame. For example, CMA candidly recognized that it was “a challenging year *for CMA* from a performance perspective.” CMA077062 [APP0354] (emphasis added). *CMA* had “overcommit[ed]” and “under deliver[ed].” CMA137966 [APP0352]. And the reason PKDC did not get space was because, “[d]uring [the]

pandemic,” “PKDC was not a VIP customer[.]” CMA139634, at tab Split lifting [Native]. Not because of any booking problems that were never reflected in CMA’s records.

It is true, as CMA points out, that PKDC was taking reasonable steps to improve its cargo-management process during the 2021-2022 contract year. CMA Br. at 26-27. That does not imply, however, that PKDC had a “poorly managed supply chain.” *Id.* at 27. It instead shows that the systems PKDC had in place were no match for the chaos that CMA’s unreasonable conduct unleashed on PKDC’s supply chain. Indeed, CMA points to no record evidence that, before it started shaking PKDC down and denying space, PKDC had issues booking space on CMA vessels. The record evidence instead shows that PKDC’s difficulties getting space on CMA vessels had everything to do with CMA’s policies. For instance, space was dedicated for VIPs, even though PKDC paid extra. CMA003170 [APP0420]. “Day after day” CMA was reminded that PKDC was not getting bookings. CMA137742 [APP0526]. And, given that PKDC repeatedly requested that CMA make up MQC shortfalls, as was CMA’s practice, it is difficult to believe that CMA’s denial of most of PKDC’s MQC was due simply to technical booking errors.

Accordingly, CMA is responsible for the MQC shortfall and coercing fees out of PKDC.

IV. PKDC has Proven its Claims Under 46 U.S.C. § 41104(a)(2) and (10)

CMA next challenges PKDC’s claims under § 41104(a)(2) and (10) as legally insufficient. CMA Br. at 29-31. But PKDC has proven both of these claims. As for § 41104(a)(2) (filed rate doctrine), as PKDC explained in its opening brief, the preponderance of the evidence shows that CMA coerced extra fees, including PSS and SPGO, to carry cargo that it was already required to carry at lower rates. PKDC Br. at 40-42. The point is not whether these extra fees were included in the service contract (and not all were, such as the \$14,000 fee to kick another shipper’s cargo off a vessel), *see* CMA Br. at 29-30, but rather that CMA coerced PKDC into agreeing to these

extra fees that were not initially included in the service contract. The presiding officer held just the same in *Bed Bath & Beyond*, at 156-57.

As for § 41104(a)(10) (refusal to deal), the evidence likewise shows that CMA violated the Shipping Act by “unreasonably fail[ing] to provide space in the” 2021-2022 service contract year, “and refused to provide space without PSS and premium rates” *Bed Bath & Beyond*, at 159. “These actions constituted a partial shutout and were not justified, as the amendments to price and MQC were not” voluntary. *Id.* Again, this is not a breach of contract, as CMA claims, CMA Br. at 31, but rather unreasonable conduct that violates the Shipping Act.

As such, PKDC has proven its claims under § 41104(a)(2) and (10).

V. CMA Also Unreasonably Charged Detention on Containers that Could not Be Returned

Regarding CMA’s detention charges on containers that could not be returned to UPRR Denver, CMA does not argue that it engaged in unreasonable conduct. *See* CMA Br. at 32-33. Instead, it argues that PKDC has failed to make the container-by-container showing required to prevail on its claim. *Id.*

PKDC agrees that the Commission generally requires container-by-container proof in these circumstances, *see id.*, and PKDC has provided that proof. For one, the many emails sent by PKDC’s logistics provider to CMA do reference specific containers affected by the consistent lack of appointments at UPRR Denver. [APP0733-76]. For another, the evidence shows that, during the *entire* time in question, there was a persistent lack of appointments at UPRR Denver that was preventing containers from being returned and that CMA was aware of. The specific container numbers and start and end dates of detention, moreover, are summarized in Grafton Decl. Ex. E [Native]. Because “there is evidence that sufficient appointments were not available” throughout this period, the detention charges should be found unreasonable as to all the containers. *Hapag-*

Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c), Docket No. 21-09, 2022 WL 1239377, at *2, *30 (ALJ Apr. 22, 2022).

VI. PKDC Should Be Awarded Reparations

As explained in PKDC’s opening brief, and as detailed in the Grafton Declaration, CMA’s failure to honor the service contract, its systematic coercing of fees from PKDC, and its unreasonable detention charges directly and proximately caused PKDC to suffer at least \$18 million in damages. That reasonably certain figure represents the total amount of additional charges and fees that PKDC had to pay over and above the service contract that it initially agreed to with CMA: both additional freight charges from NVOCCs to move CMA’s MQC shortfall, and the coerced PSS and SPGO fees that CMA squeezed out of PKDC.

Notably, CMA does *not* contest this calculation. It does not argue that this figure is in any way inaccurate. Instead, CMA suggests that the Grafton Declaration is inadmissible, and that PKDC could have somehow got space on vessels more cheaply through other service contracts with other carriers. *See* CMA Br. at 33-38. These arguments fail several times over: the Grafton Declaration is an admissible summary of voluminous bills; CMA, not PKDC, has the burden to show that PKDC could have reasonably mitigated its damages; and CMA cannot make that showing by speculating that other carriers could have made up for its MQC shortfall.

A. The Grafton Declaration is an Admissible Summary of Voluminous Bills Produced During Discovery Which CMA had Ample Opportunity to Review

CMA’s first argument on reparations—that the Grafton Declaration, which summarizes the many CMA and NVOCC bills that PKDC paid, is somehow inadmissible—is meritless. CMA is correct that “the Commission does not adhere to the same strict rules of evidence as federal courts[.]” CMA Br. at 34. “[A]ll evidence which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, will be admissible,” and the “presiding officer may consider

the Federal Rules of Evidence for guidance.” 46 C.F.R. § 502.204(a). “The Commission has recognized the liberal standards of admissibility of evidence in administrative proceedings, and has repeatedly ‘... identified the need for considerable relaxation of the rules of evidence followed by the federal courts in proceedings before the Commission.’” *EuroUSA Shipping, Inc., Tober Group, Inc. and Container Innovations, Inc.-Possible Violations of Section 10 of the Shipping Act of 1984*, 31 S.R.R. 540, 547 (FMC 2008) (citation omitted). That more relaxed standard of admissibility by itself disposes of CMA’s argument. The Grafton Declaration provides relevant, material, reliable, and probative evidence of the price that PKDC paid for CMA’s many violations of the Shipping Act.

Even under the stricter Federal Rules of Evidence, though, the Grafton Declaration is an admissible Rule 1006 summary. Rule 1006(a) provides that “a summary, chart, or calculation” may be “offered to prove the content of voluminous admissible writings ... that cannot be conveniently examined ..., whether or not they have been introduced into evidence.” And Rule 1006(b) provides that the “proponent must make the underlying originals or duplicates available for examination,” and “the court may order the proponent to produce them in court.” All conditions are met here: (1) the Grafton Declaration accurately summarizes the contents of thousands of bills that were issued to PKDC and calculates total amounts and average amounts paid; and (2) those thousands of bills, which cannot conveniently be examined, were produced to CMA during discovery. *See, e.g., United States v. Bakker*, 925 F.2d 728, 736 (4th Cir. 1991) (explaining that “[t]he purpose of Rule 1006 is to provide a practicable means of summarizing voluminous information,” and that “[t]his purpose was well served” where reviewing the underlying information “would have taken over 200 hours of the court’s ... time”). CMA neither claims that it never received the underlying voluminous documents identified and summarized in

the Grafton Declaration, nor takes issue with the accuracy of the summary—including the rates PKDC actually paid to NVOCCs—despite having ample opportunity to crunch the numbers itself. *See* CMA Br. at 33-34. And there is no requirement, as CMA suggests, CMA Br. at 34, that the underlying documents be introduced into evidence. *Bakker*, 925 F.2d at 737 (explaining that “under Rule 1006, the summary of voluminous information is itself the evidence to be examined by the fact-finder,” and that it would “serve[] no useful purpose” to require the proponent to introduce the underlying material into evidence where the opposing party “had access” to that material well in advance). The Grafton Declaration would thus be admissible as a Rule 1006 summary under the Federal Rules of Evidence, so there is no reason to exclude it under the Commission’s more liberal standard of admissibility.

CMA’s main gripe is procedural, not substantive. It believes that the Grafton Declaration should have been produced during discovery. CMA Br. at 33-34. But again, even if the stricter Federal Rules of Evidence applied here (and they do not), CMA cites no authority suggesting that Rule 1006 summaries must be produced in discovery. That is because there is none. Courts in fact routinely hold that parties need *not* produce Rule 1006 summaries during discovery. *See, e.g., Colón-Fontáñez v. Mun. of San Juan*, 660 F.3d 17, 30 (1st Cir. 2011) (“Rule 1006 provides that only the underlying documents, not the summaries themselves must be produced to the opposing party.”); *Coates v. Johnson & Johnson*, 756 F.2d 524, 550 (7th Cir. 1985) (Rule 1006 requires that “only the underlying documents, and not the summaries, must be made available to the opposing party”); *Mitchell v. Univ. of La. Sys.*, 154 F. Supp. 3d 364, 380 n.8 (M.D. La. 2015) (“[A] Rule 1006 summary need not have been produced during discovery.” (quotation omitted)); *United States ex rel. LaCorte v. Wyeth Pharms., Inc.*, 706 F. Supp. 3d 206, 234 (D. Mass. 2023) (“A Rule 1006 summary need not have been produced during discovery.”).

Accordingly, under the Federal Rules of Evidence, CMA's objections to the Grafton Declaration would fall short. And, given that the Commission's standard of admissibility is more liberal, CMA's objections are that much more meritless. If CMA believed that the calculations in the Grafton Declaration were inaccurate—and nowhere does CMA contest the declaration's accuracy—it could have reviewed the underlying bills and produced its own summary to include in its brief and appendix. That it decided not to is no reason for excluding the Grafton Declaration.

B. Other Carriers' Inability to Make Up CMA's MQC Shortfall is Not a Defense

CMA's next line of defense on the issue of reparations is also unavailing. Specifically, CMA theorizes that PKDC failed to mitigate its damages or establish proximate cause because PKDC had service contracts with other carriers that provided lower rates than those PKDC ultimately paid to ship CMA's MQC shortfall. CMA Br. at 34-37. The mere existence of these other service contracts, however, does not come close to establishing that PKDC "could have reasonably avoided" the damages it suffered "without an undue risk or burden" *Rose Int'l, Inc. v. Overseas Moving Network*, 29 S.R.R. 119, 191 (FMC 2001). "Failure to mitigate damages is an affirmative defense, on which the party opposing the award of damages bears the burden of proof." *Adenariwo v. FMC*, 808 F.3d 74, 79 (D.C. Cir. 2015). But CMA, which comes forward only with speculation, has failed to meet its burden.

To start, it is not true that PKDC failed to seek space on vessels at lower rates through existing service contracts. PKDC did so—and more—to try to mitigate the high costs of NVOCC carriage. For example, PKDC asked CMA if it "could explore some East Coast options to try and get some more bookings," and sought additional routings with COSCO, all to no avail. Grafton Dep. at 41:4-16 [APP0862]. PKDC also consistently asked CMA for more space when CMA failed to carry PKDC's weekly MQC. *See, e.g., CITE*. Plus, the evidence that CMA itself points

to shows that PKDC did, in fact, turn to existing service contracts with other carriers to the extent that it could. *See* PK00047091 [Native] (cataloging systematic attempts to book with other carriers with which PKDC had service contracts). And that makes sense: given the advantages of containerization, “it is not only possible, but likely, that if [PKDC] could not ship a particular container with their regular [CMA] contract[], that it would have tried to ship it under other service contracts with other ocean carriers, before resorting to an NVO/FF.” *Bed Bath & Beyond*, at 184.

But it is not PKDC’s burden to show that, for each FEU that CMA failed to carry, that same FEU was rejected by another carrier under a different service contract. OOCL made a similar argument on similar facts in *Bed Bath & Beyond*, and the presiding officer rightly rejected it. In that case, as here, the shipper “was attempting to ship containers” with the carrier throughout the service contract year, “reasonably provided containers to” the carrier “when given the opportunity to ship,” and even “agreed to ship containers with” the carrier “at premium prices.” *Id.* at 136. The shipper even chartered its own vessels “because of its pressing need for space.” *Id.* But the carrier failed to provide the agreed-to MQC. The carrier later argued that the shipper had to tie the MQC shortfall to specific containers and carriers, but the presiding officer rejected this argument. As the presiding officer explained, “when a carrier unlawfully fails to ship containers, it has given up responsibility for and control over the costs associated with shipping that container.” *Id.* at 184-85. The same is true here: CMA unlawfully failed to ship containers, so it gave up control over the costs associated with shipping those containers.

In any event, CMA’s argument also fails for the simple reason that CMA has not met its burden to show that space would have been available to PKDC through other service contracts, at agreed-to rates, and along the same port pairs needed, to make up for CMA’s failures. All CMA has done is point out the existence of these service contracts with lower rates and the fact that they

cover some of the same port pairs. CMA Br. at 34-37. That is not enough. CMA had to prove that PKDC (1) could have consistently and timely received space on vessels at lower rates using these service contracts, and (2) acted “outside the bounds of commercial reasonableness” in failing to both seek and receive such space. *Watt Equip., Inc. v. Lima Refining Co.*, 2026 WL 922048, at *3 (N.D. Okla. Jan. 12, 2026).

CMA has not proven either of those things, and for good reason. For one, PKDC shipped *more* than its anticipated volume during the 2021 to 2022 contract year, but service contracts with other carriers provided *less* MQC than PKDC’s service contract with CMA, Grafton Dep. at 31:8-11 [APP0852]. That means that it would have been next to impossible to make up CMA’s MQC shortfall with those other carriers, especially during a pandemic when all agree space on vessels was tight. Indeed, PKDC, like many other shippers during the COVID-19 pandemic, had similar issues attempting to secure space on vessels through service contracts with carriers other than CMA, which explains why PKDC was unable to obtain its MQC with those other carriers. But it is not PKDC’s burden to prove that every other carrier also violated the Shipping Act by refusing PKDC space; rather, it is CMA’s burden to demonstrate that these other carriers would have picked up CMA’s slack during a time of unprecedented demand and short supply of vessel space. That CMA cannot do.

For another, even if the mere existence of other service contracts was somehow enough to support CMA’s argument (and it is not), CMA entirely overlooks that, by shipping cargo with NVOCCs after CMA refused to provide PKDC its MQC, PKDC reasonably mitigated far more significant damages that it would have otherwise suffered in the form of lost sales, profits, business opportunities, and goodwill. That is, had PKDC not taken the sure bet of securing space on vessels at market rates through NVOCCs, PKDC would have lost even more business than it did as a direct

and proximate result of CMA's MQC shortfall. As PKDC's corporate representative explained, "as our business plan, this furniture had to be produced on a weekly basis. We're a retail organization. We need to ship 90 to 100 containers a week. And that doesn't stop." Grafton Dep. at 48:10-14 [APP0869]. It was thus reasonable for PKDC to prioritize certainty: to secure whatever space on vessels that it could at market rates—especially during a pandemic when vessel space was tough to come by—rather than risk its entire business by refusing to book with NVOCCs on the mere hope that another carrier might make up CMA's MQC shortfall. *See, e.g., OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Docket No. 21-11, Order Affirming Initial Decision at 62 (FMC Aug. 27, 2024) (no failure to mitigate during the 2021 to 2022 contract year where, among other things, the shipper's "business required certainty when shipping products to the United States" and the shipper made "some shipments on the spot market" in the absence of a service contract). After all, at the same time, CMA was offering to kick lower-paying cargo off of vessels for a shakedown fee of \$14,000 per container, CMA141020 [APP0696]—it would be naïve at best to expect PKDC to negotiate down the line with every carrier for each container refused by CMA, when carriers held all the cards and could re routinely demand such excessive fees.

PKDC, in short, "was not obligated to gamble," "to throw good money after bad, or undertake unreasonable risk in hope of" reducing its costs. *Watt Equip.*, 2026 WL 922048, at *2. PKDC reasonably attempted to secure additional space on vessels with CMA and other carriers, including by consistently requesting more space and requesting more lanes, and turned to NVOCCs when it became clear that that was the only viable option for moving cargo. If CMA did not want to be on the hook for NVOCC freight charges, then it should simply have honored its service contracts, as the Shipping Act requires.

C. PKDC's Damages are Reasonably Certain

Finally, as noted above, CMA does not contest the total and average costs that PKDC paid because of CMA's coercing fees, charging unreasonable detention, and failing to carry the agreed-upon MQC. CMA Br. at 36-38. Instead, CMA argues that *Eden Mining Co. v. Bluefield Fruit & S. S. Co.*, 1 U.S.S.B. 41 (1922), deems the additional costs that PKDC paid to NVOCCs insufficient, as a matter of law, to demonstrate reasonably certain damages. CMA Br. at 37-38. But CMA misreads *Eden Mining*.

In *Eden Mining*, the Shipping Board determined that an exclusive patronage arrangement violated the 1916 Act. Specifically, the carrier offered a 40 percent discount from its tariff rate if shippers agreed to exclusively patronize the carrier; the complainant did not, and so only received a 25 percent discount from the tariff rate. 1 U.S.S.B. at 43. The complainant contended that the 15-point differential between the discount it received and the discount others received was its measure of damages, but the Shipping Board disagreed. As the Shipping Board explained, although the carrier engaged in unlawful discrimination, the mere fact that a carrier charged "different rates" to "shippers receiving the same service, does not, as a matter of course, establish the fact of injury and the amount of damage[.]" *Id.* at 48. The shipper, in other words, got what it paid for; that others paid less for the same service did not mean that the shipper was damaged. *Cf. Off. of U.S. Trustee v. John Q. Hammons Fall 2006, LLC*, 602 U.S. 487, 494-504 (2024) (explaining that "the nature of the violation determines the scope of the remedy," and concluding that an unlawfully nonuniform fee (rather than an unlawfully high fee) was appropriately remedied through discontinuation of the nonuniformity rather than refunds).

It is thus no surprise that *Eden Mining* has never been cited for the proposition that CMA advances. Unlike the unique situation in *Eden Mining*, PKDC did *not* get what it paid for. Its

measure of damages is *not* what *other shippers* paid to CMA to move cargo. Instead, PKDC's measure of damages is what it had to pay others to move the cargo that CMA was supposed to move (in addition to coerced fees and unreasonable detention charges). That makes *Eden Mining* inapposite. PKDC's damages, in other words, are not the differential between what it paid and what it could have paid based on other shippers' service contracts with CMA, but rather what PKDC actually paid as a direct and proximate result of CMA's failure to honor its service contract. PKDC's damages are thus no different from the damages awarded in *Bed Bath & Beyond* for MQC shortfall: the number of containers that the carrier failed to carry, times the cost of carrying those containers with others. *Bed Bath & Beyond*, at 185-91.

Accordingly, PKDC has proven its damages by a preponderance of the evidence and with reasonable certainty.⁴

⁴ As to the issue of double reparations under the Ocean Shipping Reform Act of 2022, Complainant notes that *Bakerly LLC v. Seafrigo USA, Inc.*, Docket No. 22-17, 2024 WL 4678461 (FMC Oct. 30, 2024), holds that § 41104(a) does not apply retroactively, not § 41305(c). See CMA Br. at 38. The issue is thus not squarely foreclosed. And even if it were, it does not "border[] on frivolous," CMA Br. at 38, to acknowledge adverse precedent while advocating in good faith for an interpretation of the law that would deprive carriers of the fruits of their unjust practices. See PKDC Br. at 45 n.5.

CONCLUSION

PKDC respectfully submits that the preponderance of the evidence shows that CMA violated the Shipping Act by systematically preferring higher-paying cargo over honoring its service-contract commitments to non-VIP customers like PKDC; repeatedly coercing extra fees like PSS and SPGO out of PKDC to carry less cargo than was required under the service contract at higher rates; consistently charging detention on containers that could not be returned. For the foregoing reasons, PKDC respectfully requests that the Presiding Officer in this case find that CMA violated the Shipping Act and order reparations accordingly.

Respectfully submitted,

/s/ Luke Mathers

Luke Mathers

SANDLER, TRAVIS & ROSENBERG, P.A.

286 Madison Avenue, Suite 1200

New York, New York 10017

Telephone: (212) 549-0160

lmathers@strtrade.com

Dated: July 7, 2026

/s/ Henry P. Gonzalez

Henry P. Gonzalez, LL.M.

GONZALEZ DEL VALLE LAW

1250 Connecticut Ave., N.W., Suite 700

Washington, D.C. 20036

Tel: 202-973-2980

gonzalez@gdvlegal.com

Attorneys for PKDC, LLC

CERTIFICATE OF SERVICE

I certify that on July 7, 2026, the foregoing submission was served by electronic mail on all counsel of record, in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020, as follows:

Attorneys for Respondent:

Cozen O'Connor
1200 19th Street NW
Washington, DC 20036

Wayne Rohde
wrohde@cozen.com

Kathryn Sobotta
ksobotta@cozen.com

/s/ Luke Mathers
LUKE MATHERS